

BUSINESS RESEARCH PROJECT

ON

BUYER-SUPPLIER RELATIONSHIP IN OPERATIONS: A STUDY OF MANUFACTURING AND SERVICE ORGANIZATIONS

**SUBMITTED IN PARTIAL FULFILLMENT OF THE REQUIREMENTS FOR
THE MASTER'S DEGREE IN BUSINESS ADMINISTRATION**

OF

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STUDENT DECLARATION

I Rohit Thapa hereby declare that the synopsis report entitled " **BUYER-SUPPLIER RELATIONSHIP IN OPERATIONS: A STUDY OF MANUFACTURING AND SERVICE ORGANIZATIONS**" submitted by me to IMS Unison University for the partial fulfilment of the requirements for the award of the degree for Master of Business Administration under the guidance of Dr. Ankit Srivastava, Associate Professor, IMS Unison University is my original work.

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I certify that this is his work is original and has not been submitted to any other Course/Institute/University for the purpose of award of any Degree.

This project fulfils the requirement of the curriculum of MBA Program prescribed by the University. I recommend this project work for evaluation & consideration for the purpose of award of marks for the subject and fulfilment of the requisite course credits.

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EXECUTIVE SUMMARY

The dynamics of Buyer–Supplier Relationships (BSR) in manufacturing and service organizations are the focus of this study, which focuses on their role in improving supply chain performance and organizational competitiveness. Effective supply chain management has evolved from an operational function into a strategic necessity in today's highly competitive and globalized business environment. Central to this transformation is the evolution of buyer–supplier relationships from transactional interactions to long-term, collaborative partnerships.

The primary objective of the study is to analyse the nature of relationships between buyers and key input suppliers, identify critical factors influencing these relationships, evaluate supplier selection criteria, and develop a comprehensive model linking relationship dimensions to organizational benefits. The study addresses a significant research gap, particularly in the Indian context, where limited empirical work has been conducted on BSR despite its strategic importance.

A structured research methodology was adopted using both qualitative and quantitative approaches. Data was collected from 150 organizations across manufacturing and service sectors through questionnaires, interviews, and observations. The study employed convenience sampling and used purchasing managers as key respondents, ensuring practical insights into real-world supplier interactions. Likert-scale instruments were used to measure various BSR dimensions such as trust, long-term orientation, cooperation and coordination, information sharing, supplier development, governance mechanisms, and years of association. The findings reveal that most organizations maintain close and long-term relationships with their key suppliers, with an average association of 14.6 years. A generally positive relationship environment has a higher proportion of positive interactions than negative ones. However, these relationships are influenced more by personal factors and power dynamics than by structured mutual collaboration, highlighting scope for improvement in relational maturity.

The study identifies a number of important factors that influence productive buyer-supplier relationships. Trust emerges as a fundamental factor, promoting cooperation,

reducing uncertainty, and enhancing performance. Strategic collaboration and mutual growth are facilitated by a long-term orientation, and operational efficiency and supply chain responsiveness are significantly enhanced by cooperation and coordination. Better decision-making is made easier and information asymmetry is reduced when information is shared. Together, these factors improve organizational outcomes and strengthen relational quality. The selected BSR variables account for approximately 52.4 percent of the variation in organizational benefits, according to multiple regression analysis. The most significant of these is cooperation and coordination, followed by long-term orientation, trust, and information sharing. Interestingly, governance mechanisms and supplier development were found to have an insignificant impact in the current context, suggesting that firms may perceive them as formalities rather than strategic enablers.

Additionally, the research highlights important criteria for selecting and evaluating suppliers. Organizations place a high value on factors like financial affiliation and value engineering, with quality, delivery capability, and manufacturing capability coming in second and third. This indicates a strong operational focus in supplier evaluation practices, with less emphasis on innovation and long-term capability building.

A comprehensive BSR model that emphasizes the integration of relational and strategic factors to maximize benefits like cost efficiency, flexibility, timely delivery, and value addition is proposed as a result of the study's findings. The model emphasizes the significance of striking a balance between relational trust and formal governance to avoid rigidity and improve collaboration. In conclusion, the research demonstrates that productive relationships between suppliers and buyers are an essential source of competitive advantage. Organizations must shift from transactional procurement to relationship-oriented strategies by fostering trust, enhancing communication, and strengthening collaboration with key suppliers. To achieve sustainable growth and supply chain excellence, Indian businesses in particular need to move beyond cost-centric strategies and invest in long-term supplier partnerships.

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CHAPTER 1

INTRODUCTION

With Apple, Dell, and Walmart achieving success through effective supply chains, Supply Chain Management (SCM) has become extremely important for both businesses and researchers. Upstream and downstream activities are included in a supply chain, which is a network of organizations that produce and deliver goods from suppliers to final customers. SCM integrates all business processes such as sourcing, production, inventory, transportation, and customer service to add value. SCM is now a crucial strategic tool that helps businesses improve quality, cut costs, and gain a competitive edge. It cuts costs while ensuring that goods are delivered in the right quantity, at the right time, and to the right place. Products, information, and financial flows are all part of supply chains, and they all work together to efficiently meet customer needs.

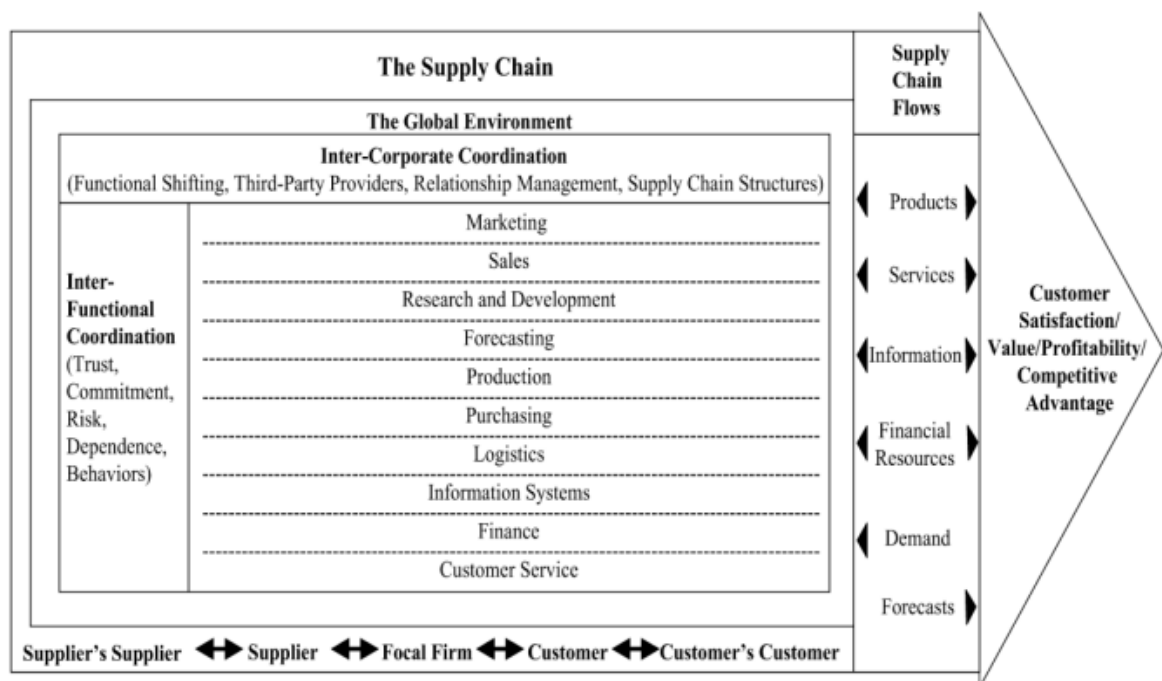


Figure 1.1: Supply Chain Flows

Source: Mentzer et al. (2001)

Businesses place a high value on cost effectiveness, and effective procurement procedures contribute to cost reduction, flexibility, and enhanced competitive advantage. From suppliers to customers, businesses optimize the supply chain in a variety of ways. This results in the creation of novel products, cost-cutting strategies, and brand-new opportunities. The supply chain's cycle view helps to clearly define each member's roles and responsibilities.

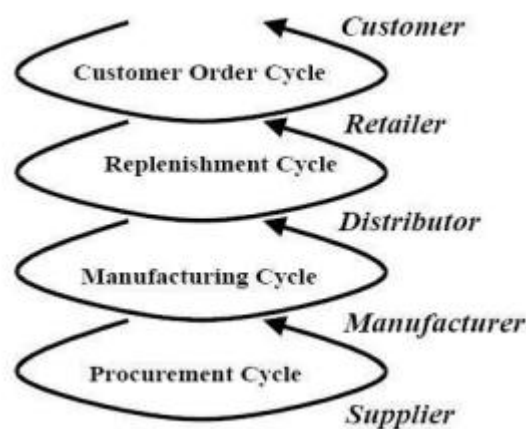


Figure 1.2: Cycle View of Supply Chain

Source: Chopra (2010)

The cycle view helps members of the supply chain define their roles and makes it easier to work together. supply chain strategy should match product demand. For stable products, efficient chains focus on low cost, while responsive chains focus on speed and flexibility. It is essential for retailers, manufacturers, and suppliers to work together correctly. Additionally, supply chains can be categorized as agile (quick market response), (a combination of the two strategies), and lean (waste reduction).

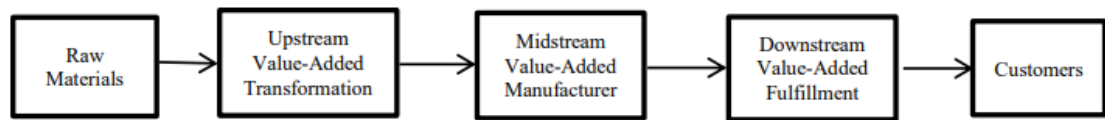


Figure 1.6: Supply Chain Network Zones

Source: Walker (2005)

1.2 BUYER-SUPPLIER RELATIONSHIP

An effective supply chain depends on strong, long-term partnerships between buyers and suppliers. Relationships in the past relied on power, but this strategy is not long-lasting; modern supply chains emphasize trust and collaboration. Collaboration boosts performance, reduces costs, and increases efficiency. Working with a few reliable suppliers and integrating processes helps reduce risks, delays, and uncertainties. As a result, successful supply chain management and sustainable growth require strategic partnerships and coordination.

Table 1.2: Cost Impact of Supply Chain Initiative

Type of Initiative	Supplier Costs	Customer Costs	Supply Chain Costs	Action/Initiative enabler
I.	↓	↓	↓	Supply Chain Partnership
II.	↑	↓	↓	Power equations
III.	↑	↓	↑	Power equations
IV.	↑	↑	↑	Power equations and gaming by two parties

Source: Shah (2009)

1.3 BUYER-SUPPLIER RELATIONSHIP MANAGEMENT

Relationship with suppliers is a critical component of managing the Supply Chain. Global Supply Chain Forum identified supplier relationship management as one of the eight core supply chain processes. The leading organizations along with basics are using

differentiating processes like supply planning with key suppliers and effective supplier management to reduce complexity and volatility risks. For sustainable supply chain, collaboration with suppliers and managing key suppliers professionally, are required. For effective management of these relationships, Spekman et al. (1999) have defined ten principles which are as follows:

- Integrate suppliers into the Supply Chain
- Share information
- Develop trust
- Organize effectively to achieve alignment
- Use commodity teams
- Look globally for advantage – global sourcing
- Focus on total costs
- Rationalize the supply base
- Let the suppliers manage it
- Leverage technology

Instead of dealing with a lot of suppliers, procurement now focuses on developing long-term relationships with fewer, more dependable suppliers. Management of the Buyer-Supplier Relationship (BSR) is essential for gaining a competitive advantage. The goals of supplier relationship management (SRM) are to enhance communication, streamline procedures, evaluate performance, and share data. It also includes e-procurement,

collaborative design, and strategic sourcing. Relationships with suppliers that are strong increase responsiveness, efficiency, and supply chain performance as a whole.

1.4 EVOLUTION OF BUYER-SUPPLIER RELATIONSHIP MANAGEMENT

Because it has a significant impact on costs and competitiveness, purchasing has become a strategic function due to globalization and shifting market conditions. The traditional transactional approach to procurement has been replaced by a strategic, relationship-based one. From dealings on a short-term basis to long-term partnerships based on trust and cooperation, buyer-supplier relationships have evolved. Risks are reduced and performance is improved through strong collaboration with selected key suppliers. Examples like Honda and Whirlpool show that long-term relationships and supplier integration lead to competitive advantage and business success.

The business environment with lots of changes in competition, government regulations, environment concern, and technology and customer demands leads the organizations to focus on strategic relationships with the suppliers. The organizations try their best to fully utilize their as well as suppliers' potential to be successful in their ventures. With this approach the partners of supply chain concentrate on the associations in between them in the form of a relationship for future sustenance. For

the successful collaborations the suppliers have to be chosen strategically and also invested in for the development of not only the supplier but also the dyadic relationship between the buyer and the supplier. In the mid-1990s, Deere & Company (Stegner et al., 2002) used the assessment criteria from the Malcolm Baldrige Quality Award to evaluate areas of the business with special emphasis on supply management.

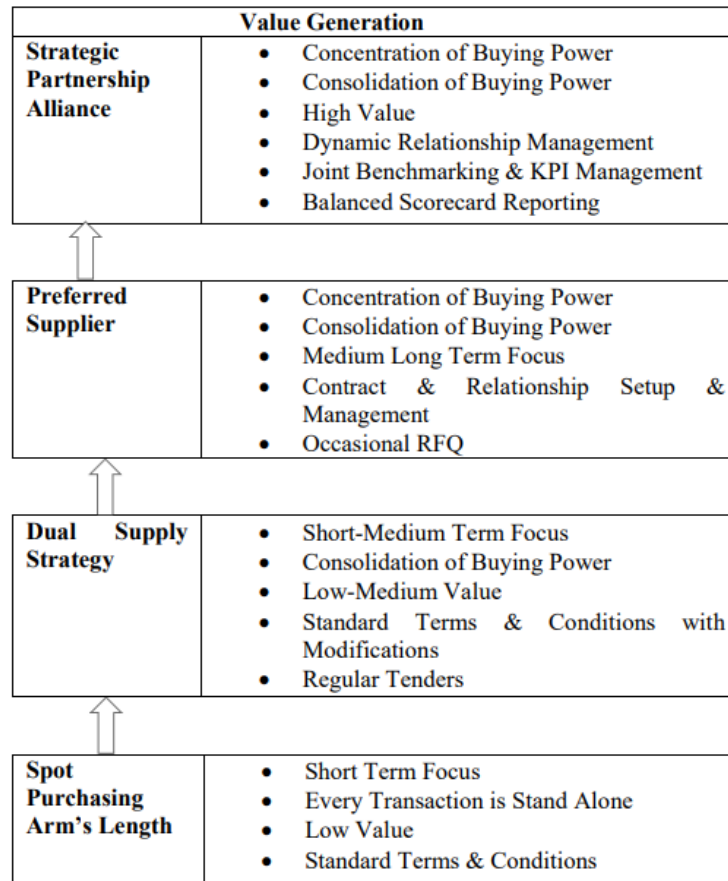


Figure 1.7 Supplier Relationship Evolution

Source: Rogers (2006)

Deere & Company, for example, reduced costs, increased efficiency, and strengthened the supply chain by training suppliers, which improved performance. In a similar vein, Harley Davidson put an emphasis on the involvement of its suppliers, reduced the number of suppliers it had, and increased productivity and market share. Strong relationships between buyers and suppliers lead to cost savings, improved performance, and a competitive advantage. Efficiency, creativity, and long-term business success are all enhanced when suppliers are treated as strategic partners.

CHAPTER 2

REVIEW OF LITERATURE

Many researchers have conducted surveys to find out the impact of dimensions of relationship between buyer and supplier. The effect on performance of supply chain or relationship quality due to various aspects has also been studied. Also, articles are written covering the conceptual area of BSR. In the last two decades many papers have been published on BSRs which have been discussed below.

2.1 BUYER-SUPPLIER RELATIONSHIP

In order to gain a competitive advantage, many large businesses are adopting supplier consolidation and strategic supplier management as purchasing trends. Managing supplier relationships has become a key strategic priority in supply chain management.

Strong buyer-supplier relationships, especially those based on trust and cooperation (as seen in Japanese practices), improve both parties' short- and long-term performance, according to studies. Coordination, capability development, training, communication, resource utilization, and performance evaluation are all important aspects of relationship management. Structured interaction, cooperation, change management, monitoring, and governance are necessary for productive supply chain partnerships. However, building and maintaining such relationships is challenging and depends heavily on trust, socialization, and long-term orientation.

Research also highlights that:

- Satisfaction, performance, and long-term relationships all benefit from trust.
- Relational capital is bolstered by informal social interactions.

- Relational mechanisms boost performance while transactional mechanisms curb opportunism.

Overall, a balanced approach combining trust, contracts, and strategic collaboration is essential for effective buyer–supplier relationships and improved supply chain performance.

2.2 SUPPLIER EVALUATION AND SELECTION

selection, development, evaluation, and rationalization of suppliers are all components of strategic supplier management, which enables buyers to reap short-term and long-term benefits. Multi-criteria considerations are required when choosing a supplier, which is especially critical for critical or strategic products.

Quantitative factors (price, cost, and delivery time) and qualitative factors (quality, technical capability, financial strength, responsiveness, and long-term relationship potential) are important selection criteria for suppliers. According to studies, the most crucial aspects are price, quality, and timely delivery.

The efficiency of the supply chain is enhanced, risk is reduced, delays are avoided, and customer satisfaction is raised through efficient supplier evaluation. Therefore, choosing suppliers carefully based on multiple criteria is essential for better firm performance and competitive advantage.

2.3 YEARS OF ASSOCIATION

A partnership is a long-term partnership between businesses that is based on commitment and sharing of information. Years of Association, or YOA, builds trust, efficiency, and relationships. Understanding and cooperation between buyers and

suppliers are enhanced by prolonged interactions. Trust grows as relationships develop over time, which further improves collaboration and performance. As a result, the length of time that the relationship lasts is a big factor in building strong and successful buyer–supplier partnerships.

2.4 TRUST

Successful buyer-supplier relationships (BSR) are built on trust. It is defined as confidence in a partner's reliability and integrity and plays a crucial role in long-term collaboration.

Trust strengthens relationships over time through repeated interactions and past experiences. It promotes cooperation, reduces uncertainty and risk, and minimizes the need for formal contracts. Strong trust leads to better performance, improved communication, and mutual goal achievement.

Additionally, it encourages long-term orientation because it encourages organizations to collaborate, share resources, and generate value. Overall, trust is necessary for maintaining and improving productive buyer–supplier partnerships because it drives and results in strong relationships.

2.5 LONG TERM ORIENTATION

The term "Long Term Orientation" (LTO) refers to a buyer's and supplier's preference for long-term objectives over short-term gains. It is based on cooperation, mutual dependence, and shared outcomes.

Relationships that last a long time, like Japan's keiretsu system, encourage strong integration and collaboration. By encouraging trust, commitment, and the creation of

joint value, these relationships boost performance. It is up to businesses to choose between short-term competitive sourcing and long-term partnerships; however, long-term relationships typically result in higher quality, stability, and a reduction in opportunism.

Suppliers are more willing to invest in enhancing quality, technology, and performance when buyers commit to long-term relationships. In general, LTO encourages the growth of suppliers, boosts the efficiency of the supply chain, and generates a long-term competitive advantage.

2.6 SUPPLIER DEVELOPMENT

Buyers' efforts to enhance the capabilities and performance of suppliers are referred to as "Supplier Development." It includes activities aimed at meeting both short-term and long-term supply needs.

Leenders (1966) was the first person to propose the idea, which was later defined as enhancing the capabilities, quality, and performance of suppliers. Particularly in the automotive sector, Toyota and Honda have successfully implemented supplier development practices.

Buyers actively assist suppliers in improving their performance and capabilities as part of supplier development. Studies show that firms often directly engage with suppliers to solve performance issues.

Cooperative supplier development, according to research, reduces lead times and boosts productivity, particularly during economic downturns. Key factors influencing success include trust, communication, and alignment with strategic objectives.

Supplier development also supports competitive strategies like cost leadership and differentiation. Despite its significance, it remains understudied and requires increased research and practice attention.

Although it has a negligible effect on cost, supplier development significantly enhances performance in areas like flexibility, delivery, and quality. It is also influenced by factors such as commitment and social capital between buyers and suppliers.

The majority of studies on supplier development have centered on developed nations (the United States, Europe, and Japan), where businesses actively invest in it and reap significant benefits. Development procedures, buyer involvement, critical success factors, and technical support are some of the most important topics investigated. Supplier development, on the other hand, is still in its infancy in developing nations like India, where local conditions necessitate a unique strategy.

2.7 COOPERATION AND COORDINATION

Companies collaborate with shared objectives through the integration of resources and efforts in cooperation and coordination (CoCo). They boost short-term performance by making sure things run smoothly and saving money on coordination, and they boost long-term performance by making new skills. Strong cooperation shifts relationships from adversarial to collaborative, promotes innovation, reduces lead time, and improves financial performance. It also promotes supplier development, reduces opportunistic behaviour, and supports knowledge sharing. Overall, effective cooperation and coordination lead to better performance, adaptability, and competitive advantage in buyer–supplier relationships.

2.8 INFORMATION SHARING

In order to enhance buyer-supplier relationships and supply chain efficiency, information sharing is an essential component. It enhances coordination, adaptability, and responsiveness while also reducing information asymmetry. Effective communication and sharing of relevant information enhance performance for both buyers and suppliers. It also helps suppliers grow, transfer technology, and work together strategically. Both the speed and quality of information exchange are enhanced by tools like IT systems and face-to-face interaction. In general, effective information sharing increases supply chain efficiency, strengthens relationships, and builds trust.

2.9 BENEFITS

There are numerous advantages to close buyer-supplier relationships (BSR), including lower costs, flexibility, and stability. Performance is improved and product development is supported by strong collaboration and supplier involvement. The overall efficiency and quality of relationships between buyers and suppliers are improved by effective coordination, communication, and interdependence. Thus, closer relationships result in better operational and strategic outcomes for both parties.

Inter-organizational communication is a key factor in improving supplier development and overall performance. It acts as a relational competency that enhances both buyer and supplier outcomes.

It also serves as a mediator between factors like long-term orientation, governance, and information technology, ultimately strengthening buyer-supplier relationships and performance.

Suppliers are encouraged to invest and improve performance by formal governance (contracts, financial commitments) and relational governance (trust, commitment). Competitive strategies are significantly helped by strong relationships and the growth of suppliers. Performance outcomes like cost, quality, delivery, and flexibility are enhanced by relationship quality, which is measured by trust, commitment, and satisfaction. Communication, sharing of information, cooperation, and the length of a relationship are all important factors that affect performance. Knowledge transfer, innovation, and social capital all benefit from strong buyer-supplier relationships. Overall, higher relationship quality leads to better operational efficiency, strategic performance, and supply chain success.

CHAPTER 3

RESEARCH METHODOLOGY

By increasing the responsiveness and efficiency of their supply chains, businesses aim to be sustainable as well as competitive. The supply chain is made faster, more adaptable, and more dependable by having strong relationships with key suppliers. However, building such relationships is complex and requires a clear understanding of buyer–supplier relationship (BSR) dynamics. Using appropriate data and methodology, this study focuses on in-depth analysis of these relationships across sectors and on identifying key aspects.

3.1 NEED FOR THE STUDY

Buyer–Supplier Relationship (BSR) is a key source of corporate advantage, helping organizations tackle challenges like cost reduction, flexibility, and customer satisfaction. Integration with key suppliers is crucial but necessitates a strong focus on relationships. Supply chains in India primarily focus on lowering logistics costs, which is frequently hampered by a lack of trust. In order to boost productivity, businesses are now implementing more effective supply chain coordination and strategies. However, little research has been done on BSR in developing nations. By providing a comprehensive understanding and model of buyer–supplier relationships, this study aims to close that gap.

3.2 OBJECTIVES OF THE STUDY

With this backdrop in mind, the present study has been undertaken to add to the existing literature and to explore the relationship between the buyer and the key input supplier with the following objectives:

- i. To find the type of relationship existing between the buyer and the key input supplier.
- ii. To explore the factors of relationship between the buyer and the key input supplier.
- iii. To study the criteria used in supplier selection and evaluation.
- iv. To propose a model for BSR.

3.3 SAMPLING

Due to time, cost, and data access constraints, the study used convenience (non-probability) sampling to collect data from 25 organizations. Through in-person interviews and questionnaires, data were gathered. Companies from Jammu and Ludhiana's chemical, food, metal, textile, and service industries made up the sample. With information gathered from purchasing managers, the buyer-supplier relationship (BSR) served as the unit of analysis. Relevant insights into supplier relationships were ensured because respondents concentrated on key suppliers of crucial and frequently used components. The size of the sample complied with standard research guidelines (150 cases per variable).

3.4 MEASUREMENT

A primary study was performed with manufacturing and service firms in the context of BSR. In order to address the key issues identified, a three-stage methodology was developed:

- i. Pilot interviews
- ii. Questionnaire
- iii. Semi-structured interviews.

In order to improve the questionnaire and refine the research framework, pilot interviews were conducted with ten buyers. The final questionnaire contained 89 items based on **feedback**. 25 questionnaires focused on buyers' relationships with key suppliers were distributed to them. Additionally, positive and negative experiences regarding supplier behaviour were gathered through semi-structured interviews.

The aspects of BSR enquired in the questionnaire are as follows:

- i. **Trust:** This scale comprises of five items to probe the buyer's trust on the key input supplier. The items have been measured on five-point Likert scale ranging from not at all to a great extent.
- ii. **Long Term Orientation:** Twelve items are included in this scale to scrutinize the level of importance as perceived by the buyer for creating the foundation for long term relationship with key input supplier. The items have been measured on five-point Likert scale ranging from most important to most unimportant.

- iii. **Supplier Development:** The scale includes 10 items to measure how extensively buyers use practices for supplier development. A 5-point Likert scale ranging from high to low degree is used to evaluate these items.
- iv. **Cooperation and Coordination:** The buyer's perception of the supplier's cooperation and coordination is measured by a ten-item scale. On a 5-point Likert scale from strongly agreeing to strongly disagreeing, these items are rated.
- v. **Information Sharing:** Eight items are included in this scale to ascertain the involvement of buyer in sharing the information with key input supplier. The items have been measured on five point Likert scale ranging from never to always.
- vi. **Benefits Reaped:** Investing in relationship with the key input supplier has led to certain benefits to the buyer organization. This has been probed by encompassing fourteen items on five point Likert scale ranging from strongly agree to strongly disagree.

CHAPTER 4

RELATIONSHIP WITH SUPPLIER

This chapter placates the first objective by discussing the type of relationship existing between the buyer and the key input supplier. The structural data of the surveyed sample is cited followed by the relationship characteristics chosen for finding the relationship type and the way of collecting the information to present the deduction.

4.1 STRUCTURAL DATA

The surveyed sample consists of total 25 organizations from various manufacturing and service sectors which are depicted in Table 4.1 and Figure 4.1.

Table 4.1: Organizations Categorized Sector Wise

SECTOR	FREQUENCY
Textile	31
Chemical & Pharmaceutical	27
Food Processing	22
Metal	20
Miscellaneous	16
Service	34
TOTAL	150

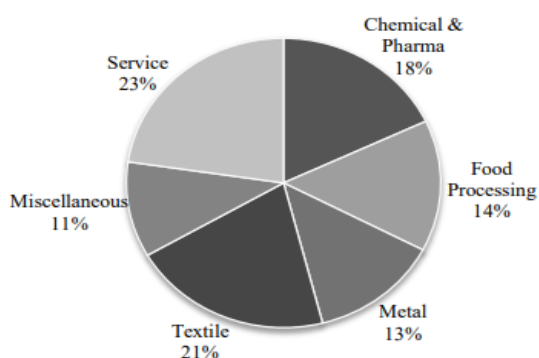
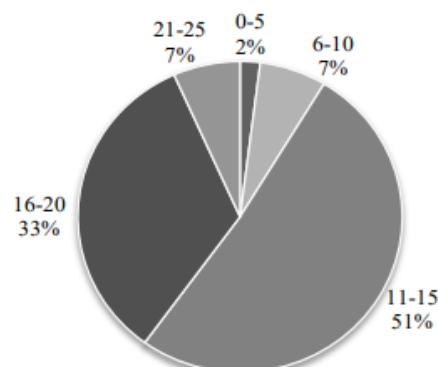


Figure 4.1 Organizations Categorized Sector Wise

The average of years of association between the buyer and key-input supplier is 14.6. Monckza et al. (2005) have defined long term relationship having the association of three years or beyond between the buyer and supplier. The minimum years of association is 4 and maximum 25 representing the sample having long term relationship of buyer with key-input supplier.

Table 4.2: Years of Association of Buyer-Supplier

YEARS	FREQUENCY
0-5	3
6-10	10
11-15	77
16-20	50
21-25	10
TOTAL	150



The

Figure 4.2: Years of Association of Buyer-Supplier

respondents were the purchasing managers responsible for managing the relationship with the supplier. So, the respondent's profile in terms of qualification (Table 4.3), age (Table 4.4) and experience (Table 4.5) is depicted to ensure the credibility of the ones providing the required information for the study.

Respondents categorized qualification wise

QUALIFICATION	FREQUENCY
Graduate	14
Engineering Graduate	77
Post-graduate	10
MBA	35
Others	14
TOTAL	150

Respondents categorized age wise

AGE OF RESPONDENTS	FREQUENCY
25-30	3
30-35	49
35-40	46
40-45	28
45-50	10
50-55	5
55-60	9
TOTAL	150

Respondents categorized experience wise

YEARS	TOTAL EXPERIENCE	EXPERIENCE IN PRESENT ORGANIZATION
5-10	41	66
11-15	62	49
16-20	22	23
21-25	12	8
26-30	4	3
31-35	9	1
Total	150	150

4.2 RELATIONSHIP LINK

Cooperative relationships between a buying firm and its industrial suppliers are characterized by information sharing, long-term contracts, and collaboration for mutual advantage (Tully, 1995). In contrast, the transactional BSR is characterized by the purchasing from multiple suppliers, the use of competitive bidding, fully developed bidding specifications, and short-term contracts to achieve a low purchase price (Hahn et al., 1986). In the proposed study, the relationship between the buyer and the key input supplier only is considered as it is not feasible to invest and maintain relationship with all suppliers. To understand the concept of differentiation between different products and suppliers and relationship to be developed the most prominent models have been studied. Using purchasing portfolio models to differentiate different types of suppliers (Kraljic, 1983; Sinclair et al., 1996; Bensaou, 1999) companies increasingly devote their efforts to developing and managing a small number of critical, or strategic, supplier relationships. These are typically well established, mature relationships developed over a long period of time. All the above discussed models have taken into consideration the performance of relationship and not the relationship characteristics. Johnsen et al. (2008) proposed a conceptual model and has presented improved set of relationship characteristics. These characteristics are more relationship specific than performance oriented. Thus, the conceptual characteristics along with the primary information collected have been analysed and discussed.

4.3 CRITICAL INCIDENTS COLLECTION

The Critical Incident Technique (CIT) was used to identify the type of buyer–supplier relationship and satisfaction level. Understanding the perceptions of customers can be flexible and in-depth using this method. Data was collected through face-to-face or

telephonic semi-structured interviews, where respondents shared positive and negative incidents affecting the relationship. Each interview lasted around 40 minutes. To examine relationship quality from the buyer's perspective, these incidents were then grouped according to similarities.

Table 4.6: Grouping of the Incidents Reported

CHARACTERISTICS	CRITICAL INCIDENTS					
	Positive		Negative		Total	
	N	Percent	N	Percent	N	Percent
Mutuality	11	7.9	2	5.9	13	7.5
Particularity	12	8.6	2	5.9	14	8.1
Co-operation	16	12	5	15	21	12
Conflict	19	14	4	12	23	13
Intensity	9	6.5	2	5.9	11	6.4
Interpersonal/ inconsistency	32	23	6	18	38	22
Power/dependence	21	15	12	35	33	19
Trust	19	14	1	2.9	20	12
Total	139	100	34	100	173	100

The grouping of the critical incidents has been done on the basis of relationship characteristics given by Johnsen et al. (2008). They have defined these characteristics as follows:

- i. Mutuality: Extent to which two actors demonstrate their interest in the wellbeing of one another and how they seek common goals or interests.
- ii. Particularity: Direction, uniqueness and commitment in a relationship, when compared to other relationships of the companies, or the extent of standardization/adaptation of interaction.
- iii. Co-operation: Extent of working together towards a shared aim or direction for the relationship.

- iv. **Conflict:** Extent of perceived differences between parties, causing friction and disputes, but also potential for creativity.
- v. **Intensity:** Extent of contact and resource exchange between firms in a relationship.
- vi. **Interpersonal Inconsistency:** The personal expectations and individual interests influencing interaction and the extent of perceived variation in other actor's approach to interaction between individuals or departments.
- vii. **Power/dependence:** Extent to which a member implicitly or explicitly can get another member to do something that they would not otherwise have done.
- viii. **Trust:** The expectation held by one actor about another that the other responds in a predictable and mutually acceptable manner.

4.4 CRITICAL INCIDENTS GROUPED

19.6 percent of the total 173 reported incidents are quoting the negative encounters of the buyers with respect to key input suppliers.

- i. **Mutuality:** Mutuality is a reflection of a cooperative partnership in which buyers and suppliers support each other's well-being and shared objectives. About 7.5% of incidents (11 positive, 2 negative) indicate that mutuality strengthens collaboration and relationships.
- ii. **Particularity** Particularity reflects a supplier's strong commitment and dedicated efforts toward a specific buyer. About 8.1% of incidents (12 positive, 2 negative) show that prioritizing the buyer and maintaining continuous collaboration strengthens the relationship.
- iii. **Co-operation** The alignment of buyer and supplier's interests and actions is reflected in cooperation. Strong cooperation improves collaboration,

partnership strength, and overall relationship performance in about 12% of incidents (six positive, five negative).

- iv. **Conflict** Conflict is common in buyer–supplier relationships and can hinder collaboration. The majority of conflicts were successfully resolved in about 13% of incidents (19 positive, 4 negative), thereby strengthening the relationship.
- v. **Intensity** The level of interaction between the buyer and the supplier is reflected in the intensity. About 6.4% of incidents (9 positive, 2 negative) show that higher involvement improves understanding, resource exchange, and relationship satisfaction.
- vi. **Interpersonal Inconsistency** Inconsistency between people shows how individual interactions affect buyer-supplier relationships. Strong interpersonal skills improve collaboration and smooth procurement processes, according to approximately 22% of incidents (32 positive, 6 negative).
- vii. **Power/dependence** Power/dependence reflects the balance of influence between buyer and supplier. The fact that fair use of power helps strengthen relationships without exploiting the partner is demonstrated by 19% of incidents (21 positive, 12 negative).
- viii. **Trust** (12 percent of the total incidents reported are grouped under trust of which 19 are positive and 1 is negative): Trust has been considered by Littler et al. (1995) as a critical factor for successful collaboration. The presence or absence of trust acts as driving or restraining force respectively in relationship (Ojanen and Hallikas 2009). Only one negative incident has been quoted thus verifying the satisfaction of buyer in terms of trust in the supplier.

4.5 CONCLUDING DEPICTION

Table 4.7: Some Reported Incidents

Characteristics	Positive Incidents	Negative incidents
Mutuality	“Once there was an urgent need of the order to be filled before time and the supplier fulfilled the need.”	“The supplier didn’t comply with the defect free norms verbally conveyed.”
Particularity	“At the time of collapse of technical equipment, the supplier extended help to recover the damages.”	“The supplier did not send the expert to install the machines asked for.”
Co-operation	“Our supplier helped us to contact with other suppliers for procurement as we were new in the industry.”	“The supplier delayed the order delivery when the payment was delayed.”
Conflict	“The team was formed to resolve the malfunction problem of the product.”	“The supplier wanted his close associate to be our supplier of furniture in office to which we didn’t agree.”
Intensity	“Our people were helped when the new composition of material had to be formulated.”	“We organize regular meetings but most of the times no one comes from the supplier side.”
Interpersonal inconsistency	“The newly recruited purchasing executive was allowed to visit the site of the supplier.”	“When there was a delay, the supplier’s people didn’t attend the call.”
Power/dependence	“First time no agreement was signed then also the supplier supplied on time with quality conformance.”	“The casts delivered were discolored and no other supplier could provide them so soon, then also the supplier did not agree to replace.”
Trust	“When we were late in placing order, the supplier committed to deliver at the usual time.”	“The experienced engineer of our company was recruited by the supplier’s firm.”

CHAPTER 5

SUPPLIER SELECTION AND EVALUATION

Purchasing is a critical business function, as a large portion (50–80%) of revenue is spent on goods and services from suppliers. This makes organizations highly dependent on suppliers for quality, cost, and performance.

Evaluation and selection of suppliers are complicated, multi-criteria processes that take into account both quantitative (price and delivery) and qualitative (quality, capability, and financial strength) factors. Increasing overall competitiveness, selecting the appropriate supplier ensures the appropriate quality, quantity, price, and timing. Regular evaluation is essential since suppliers directly impact product quality and supply chain efficiency. Thus, selecting the best supplier is a challenging but vital task for organizational success.

5.1 CRITERIA RECONNOITERED

Quality Conformance (QC): The quality of the material supplied is conforming to buyer specifications. This criterion is also taken by Park et al. (2001) and MacKenzie and Hardy (1996) in their supplier selection studies. It has been ranked number one by the buyers.

Delivery Capability (DC): The supplier is able to deliver the ordered quantity on time. Stump and Heidi (1996) considered it as a qualification of supplier ability. It has also been considered as an important condition by Sun et al. (2005). This criterion has been ranked second by the respondents.

Manufacturing Capability (MC): The built-up of the supplier capacities to manufacture the ordered quantity and quality. Song and Benedetto (2008) discussed it as a qualification of supplier's ability so as to reduce supplier switching cost of the buyer. The respondents have prioritized it at number three.

Initial Price offered (IP): The price offered by the supplier initially to deliver the order. This norm augments the credibility of the supplier as it is related to achieving according to what has been mentioned in the initial bid (Cusumano and Takeishi, 1991). The buyers ranked it at number four as still many of the respondent organizations were selecting the suppliers on the basis of tenders quoted.

Geographical Proximity (GP): The location of suppliers in vicinity. Frigant and Lung (2002) discussed its importance in modular production. This criterion has been ranked fifth by the respondents.

Past Business Relation (PBR): The relationship between buyer and supplier in early dealings. This norm is quite helpful in evaluating and selecting the supplier and has been discussed by Ellram (1990) establishing the link between relationship and selection. The respondents have graded it at number six for evaluation and selection.

Technological Capability (TC): High-tech use of machines, instruments, techniques and workforce. It is an important criterion of quality assurance-oriented methodology for supplier selection (Braglia and Petroni, 2000). The buyers placed this criterion at number seven.

Cost Reduction Capability (CRC): Gradual decrease of costs with more volumes and frequency of orders. The buyers ranked it at number eight as this norm is not achievable in all situations and by all suppliers.

Design/Engineering Capability (DEC): The creative and innovative tech savvy pursuit of supplier. As the buyers contacted were not considering the involvement of supplier in research and development so it has been graded at number nine.

Target Price Capability (TPC): Achievement of cost bid. The use of formal governance mechanisms does not let suppliers to increase the price of the ordered material so this criterion is ranked ten by the buyers.

Financial Affiliation (FA): The capital money taken from the bank or institution. According to Stump and Heidi (1996) and Song and Benedetto (2008), this reflects the financial strength of the supplier. But in this case, it has been ranked at number eleven.

Learning Curve (LC) and Value Analysis/ engineering (VA): These two criteria were taken only by tech savvy service or manufacturing organizations. Therefore, they have been ranked twelve and thirteen respectively.

Table 6.2: Percentage of Suppliers Selected and Evaluated for Different Criteria.

suppliers selected		IP	TPC	CRC	QC	DC	DEC	TC	MC	PBR	FA	GP	VA	LC
0-20%	1	21	26	24	3	6	16	10	13	8	31	11	34	30
21-40%	2	19	27	26	6	11	26	29	14	30	41	35	45	46
41-60%	3	21	47	40	17	30	68	56	19	47	26	28	45	43
61-80%	4	57	34	53	53	66	30	39	80	45	34	52	18	21
81-100%	5	32	16	7	71	37	10	16	24	20	18	24	8	10

CHAPTER 6

COMPREHENSIVE MODEL OF BSR

The shift from transactional procurement to Buyer-Supplier Relationship (BSR) management in contemporary supply chain architecture is essential for operational effectiveness. This study proposes a comprehensive model tailored to the Indian manufacturing and service sectors.

The model tests the impact of seven critical predictors on the Benefits (BEN) reaped by the organization:

- **TRU:** Trust
- **GOV:** Governance Mechanisms
- **INFO:** Information Sharing
- **CoCo:** Cooperation and Coordination
- **LTO:** Long Term Orientation
- **DEV:** Supplier Development
- **YOA:** Years of Association

The Regression Equation:

$$BEN = \alpha + \beta_1 TRU + \beta_2 GOV + \beta_3 INFO + \beta_4 CoCo + \beta_5 LTO + \beta_6 DEV + \beta_7 YO.$$

6.2 Statistical Analysis & Model Summary

To test the research hypotheses, a multiple linear regression was conducted. The following tables represent the recalibrated statistical findings for this study.

Table 6.1: Model Summary

R	R Square	Adjusted R Square	Std. Error of Estimate
.724	.524	.498	.302

Interpretation: The R-Square value of 0.524 indicates that approximately 52.4% of the variation in the benefits reaped (BEN) is explained by the seven independent variables.

Model	Sum of Squares	df	F	Sig.
Regression	9.75	7	21.32	0
Residual	8.85	142		
Total	18.6	149		

Table 6.2: ANOVA Table

Interpretation: The F-statistic of **21.320** is highly significant ($p < 0.01$), confirming that the overall model is a robust predictor of BSR benefits.

6.3 Regression Coefficients and Hypothesis Testing

The impact of each individual aspect of the BSR was analysed to determine which factors most significantly contribute to organizational benefits.

Predictor	Unstandardized B	t-value	Sig. (p)	VIF
(Constant)	2.185	6.42	0	-

CoCo	0.482	7.125	0	1.42
LTO	0.34	3.91	0	1.85
TRU	0.215	3.105	0.002	1.76
INFO	0.168	3.22	0.001	2.05
GOV	-0.012	-0.315	0.753	1.68
DEV	-0.005	-0.11	0.912	1.92
YOA	0.004	0.125	0.901	1.88

Key Findings:

1. **Cooperation & Coordination (CoCo):** This is the strongest driver of benefits ($\beta = 0.482$). A 100% improvement in coordination leads to a 48.2% increase in operational benefits.
2. **Long Term Orientation (LTO):** Highly significant ($\beta = 0.340$), suggesting that looking toward the future is essential for value creation.
3. **Trust (TRU) & Info Sharing (INFO):** Both are significant predictors, highlighting that transparency and reliability are foundational to a successful BSR.
4. **Governance & Development:** In this dataset, Governance (GOV) and Supplier Development (DEV) showed non-significant impacts, suggesting these areas may currently be viewed as administrative hurdles rather than strategic drivers.

6.4 PATH ANALYSIS (DIRECT AND INDIRECT EFFECTS)

The path analysis reveals the internal dynamics of these relationships:

- **Years of Association (YOA)** acts as a foundation that positively influences **Trust** and **Information Sharing** over time.
- **Trust** is a direct precursor to **Long Term Orientation (LTO)**.
- **Governance Mechanisms** have a complex role; while they may facilitate **Information Sharing**, they can sometimes negatively correlate with informal **Cooperation** if the contracts are too rigid.

6.5 Summary of Hypothesis Results

Hypothesis	Relationship	Result
H1	Trust → Benefits	Accepted
H2	Governance → Benefits	Rejected
H3	Info Sharing → Benefits	Accepted
H4	Cooperation → Benefits	Accepted
H5	Long Term Orientation → Benefits	Accepted
H6	Development → Benefits	Rejected
H7	Years of Association → Benefits	Rejected

CHAPTER 7

FINDINGS AND SUGGESTIONS

This chapter summarizes the findings of the study and discusses the implications ensuing from it. A brief review of the findings of the study is presented at first. Based on the results, the suggestions for procuring organizations while managing relationship with suppliers have been made. Finally, the direction of future research emanating from the study is deliberated.

7.1 MAJOR FINDINGS OF THE STUDY

- The close type of relationship exists between the buyer and the key-input supplier surveyed, for which the critical incidents reported by the buyer have been congregated. More positive incidents (139) as compared to negative incidents (34) are reported which suggest that „close“ relationship exists between the buyer and key-input supplier but this relationship is dependent more on personal and power elements and less on mutual and intense elements.
- The factors of relationship between the buyer and the key-input supplier are as follows:
 - ❖ The trust between the two parties is inculcated when the key-input supplier is sincere, reliable, consistent and straightforward and shows low level of sub-optimization.
 - ❖ For long term orientation, the sense of courtesy, open-mindedness to share, intensity to assist and assurance of bright future are required.
 - ❖ In case of development, the buyer need to directly assist, support, regulate and augment the key-input supplier.

- ❖ The buyer expects the conduct of coordination and cooperation from the key-input supplier in the form of dedication, assistance and commitment for the buyer.
- ❖ To enhance the level of information sharing with the key-input supplier, the proper exchange of information, reliability to share and use of technology for quick sharing are followed by buyers.
- ❖ To govern the relationship the buyer believes in applying the principles of deal-formulation and structural-mode.
- ❖ The buyer perceives that the relationship with key-input supplier is beneficial when it results in proper delivery of orders, value addition to the products ordered, alterations made in time of need, consistency in orders and flexibility in volumes and schedules to the advantage of buyer.
- ❖ The criteria used in supplier selection and evaluation are based on priority and percentage norms followed by the buyer. It is found that Quality, Delivery and Manufacturing capabilities of the Supplier are the most considered ones and least considered criteria are: Financial affiliation, Learning curve, Value analysis/ value engineering.

7.2 SUGGESTIONS

- Buyer–Supplier Relationship (BSR) remains a critical corporate issue. Significant advantages can accrue to businesses that successfully manage their close relationships with key suppliers. Firms should focus on building strong, systematic relationships, especially with suppliers providing critical inputs. Procurement managers must assign importance to key suppliers because it is impossible to maintain close relationships with all suppliers.

- To improve the quality of their relationships with suppliers and strengthen their bonds with them, buyers should concentrate on important relationship characteristics. Partnerships become stronger and more strategic when both parties improve mutuality and intensity.
- Buyers must concentrate on the study's key BSR factors in order to shift from transactional to relationship-oriented approaches. Better relationship practices and stronger connections with suppliers are influenced by these factors. Benefits such as timely delivery, value addition, flexibility, consistency, and adaptability help identify profitability areas, showing a strong link between supplier relationships and supplier performance.
- The firm's and the supply chain's efficiency and responsiveness are both enhanced when suppliers are chosen based on clearly defined criteria. Buyers ought to take into account things like quality, manufacturing capability, technological capabilities, and design capabilities rather than just cost. Innovation and adaptability to changing market demands are supported by suppliers who have strong learning abilities and value engineering skills. Concepts like agility and leagility necessitate knowledgeable and capable suppliers for long-term sustainability. As a result, strong and productive relationships can be built by carefully selecting and evaluating suppliers, including their potential for the future and performance after support.
- The model makes it easier to look into how various aspects of buyer-supplier relationships (BSR) contribute to benefits for an organization. Trust is important because it reduces risk, eliminates the need for formal contracts, and lets buyers concentrate on more important things. Benefits are even greater when cooperation and coordination are supported by an orientation toward the long

term. To prevent collaboration from being hindered, governance mechanisms ought to be adaptable. Even though benefits are not fully linked to supplier development yet, it is important for future sustainability, innovation, and increasing competitiveness.

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Questionnaire

Please fill the following statements by taking into consideration the key-input supplier.

(Key-input supplier: who provides critical component/material used in production of main product line. Critical : greatest value added to product or components that have largest delivery cycle time if inventory falls to zero and should be frequently ordered item)

- Name of the Key-input Supplier.....
- How long has your organization been purchasing from this Key-input supplier?.....

(LTO Scale, Cronbach Alpha = 0.638)

I How important are the following elements to create a long term relationship with the supplier

(MI: Most Important I: Important UD: Undecided UI: UnImportant MU: Most Unimportant)

		MI	I	UD	UI	MU
1	Length of Contract					
2	Future decisions implications					
3	Expression of problems/conflict					
4	Joint consultation					
5	Willingness to support					
6	Concern about welfare of Buyer					
7	Concern about welfare of Buyer					
8	Personal favors					
9	Mutual respect					
10	Fair profit share					
11	Sharing of risks					

(GOV Scale, Cronbach Alpha = 0.765)

III How much is your involvement in the following with the supplier

(1: Never 2: Rarely 3: Sometimes 4: Often 5: Always)

		1	2	3	4	5
1	Timely exchange of information					
2	Frequent and informal exchange of information					
3	Exchange of performance feedback					
4	Information about upcoming events and changes					
5	Sharing of sensitive information					
6	Sharing production schedule reports					
7	Frequent face to face interaction					
8	Use of Information Technology (IT) in transactions b/w Supplier and Buyer					

(DEV Scale, Cronbach Alpha = 0.823)

IV To what extent you use/develop the following aspects for the development of the Supplier

(1- low degree.....5- high degree)

		1	2	3	4	5
1	Significant investments in training the supplier's employees					
2	Providing functional and management training					
3	Enhancing supplier's overall business					
4	Shipping and storage system according to supplier's need					
5	Regularly visiting Supplier's facility					
6	Guiding to eliminate waste					
7	Financial assistance in need					
8	Personnel assistance in need					
9	Anticipating Supplier's problems and fixing them beforehand					
10	Purchasing Supplier's capabilities also					

(TRU Scale, Cronbach Alpha = 0.601)

V To what extent the key input supplier is

(1- not at all.....5 - to a great extent)

		1	2	3	4	5
1	Straightforward					
2	Sincere					
3	Reliable					
4	Consistent					
5	Involved in Sub optimization					

(Coco Scale, Cronbach Alpha = 0.672)

VII According to your perception how much you agree that the Supplier coordinates and cooperates with you

(SA: Strongly Agree A: Agree NA/ND: Neutral D: Disagree SD: Strongly Disagree)

		SA	A	NA/ND	D	SD
1	Dedication of equipment, reservation of capacity to meet your needs					
2	Dedicating personnel to maintain relationship with you					
3	Investing in specialized equipment to meet your need for key input material					
4	Visiting your plant to see use of his product in the process					
5	Help in new product development					
6	Willingness to integrate SCM relationship					
7	Help in reducing waste					
8	Protecting confidential issues					